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H2 2026 Report

Positioning for a late cycle reflation: equities, fixed income and commodities into December 2026, built from the published research of the fund's investment teams.

Hedge Fund Department
Frankfurt School of Finance and Management
July 2026

Foreword

Letter from the Hedge Fund Department

This report marks a milestone for the FS Student Hedge Fund. Over the first half of 2026, our investment teams produced five research papers: three portfolio papers covering the equity, fixed income and commodities sleeves, and two literature reviews on the volatility risk premium and the efficient market hypothesis that anchor the fund's investment philosophy. This document synthesizes all five into a single view of how we are positioned into the December 2026 rebalancing.

The half-year we are describing was dominated by one variable: the war in Iran and the energy shock it transmitted through every major economy. Our teams watched Brent run from roughly $66 at the start of the year to a peak near $119 at the end of March, then unwind toward $80 as a ceasefire firmed and fray again as the Strait of Hormuz dispute reopened. Each sleeve had to answer the same question, what does a supply-driven inflation shock mean when central banks sit at different points in the cycle, and it is a source of genuine confidence to us that three teams working independently converged on one coherent regime read: late-cycle reflation, higher-for-longer rates, and a wide, two-sided range of outcomes.

We want to be equally clear about what this report is not. Every position described here carries written triggers, stops or falsification rules, and several of our teams' strongest findings were revisions of their own starting assumptions. We consider that discipline, not weakness. The defining variable of mid-2026 is still unwinding, and our sizing reflects a deliberate choice to lean into the regime without betting the book on a single outcome.

We thank every analyst who contributed, and we invite the reader to consult the underlying papers on our Research page.

Francesco di Fano and Julius Jagland
Heads of Hedge Fund

Section 1

Executive Summary

Our house view for H2 2026 is a late-cycle reflation regime created by the Iran conflict's energy shock. Inflation sits above the 2% objective in every major economy, the Federal Reserve holds at 3.50-3.75% with the June dot plot shifting from a projected cut to a projected hike, and the ECB has raised its deposit rate to 2.25%, its first hike since September 2023. The resulting policy divergence, a Fed on a hawkish hold and an ECB tightening into weak growth, is the single thread that runs through all three portfolio papers.

We express this view through three sleeves:

Equities (Timur, Anton and Sandro): a value- and defensive-tilted US and European portfolio built as a 60% passive core with 40% thematic satellites, roughly 55% US and 45% Europe. The largest active bet is banks plus financials at 12% combined, funded by underweights in technology and real estate held through the core. The computed blended trailing dividend yield is 1.9%, roughly double the 1.0% of the S&P 500, and portfolio beta is 0.86 against MSCI World in EUR.

Fixed income (Anastasia Shevchuk, Johannes Volkemer and Raphael Banner): a defensive 70% EUR / 30% USD allocation designed as the portfolio's shock absorber. The EUR sleeve runs a mild barbell of 50% short, 15% intermediate and 35% long duration; the USD sleeve runs a bullet-weighted 20/50/30 structure focused on intermediate maturities. Blended duration is approximately 4.3 years, deliberately below long-duration benchmarks.

Commodities (Jakob Hautkappe and Jonathan Nadar): 50% gold, 30% copper, 20% passive agriculture and 0% oil, with oil held instead as a conditional engagement behind three explicit entry gates. The sleeve carries an expected return near 8.0% at 15.3% volatility, and every thesis carries a written falsification rule.

Key numbers at a glance

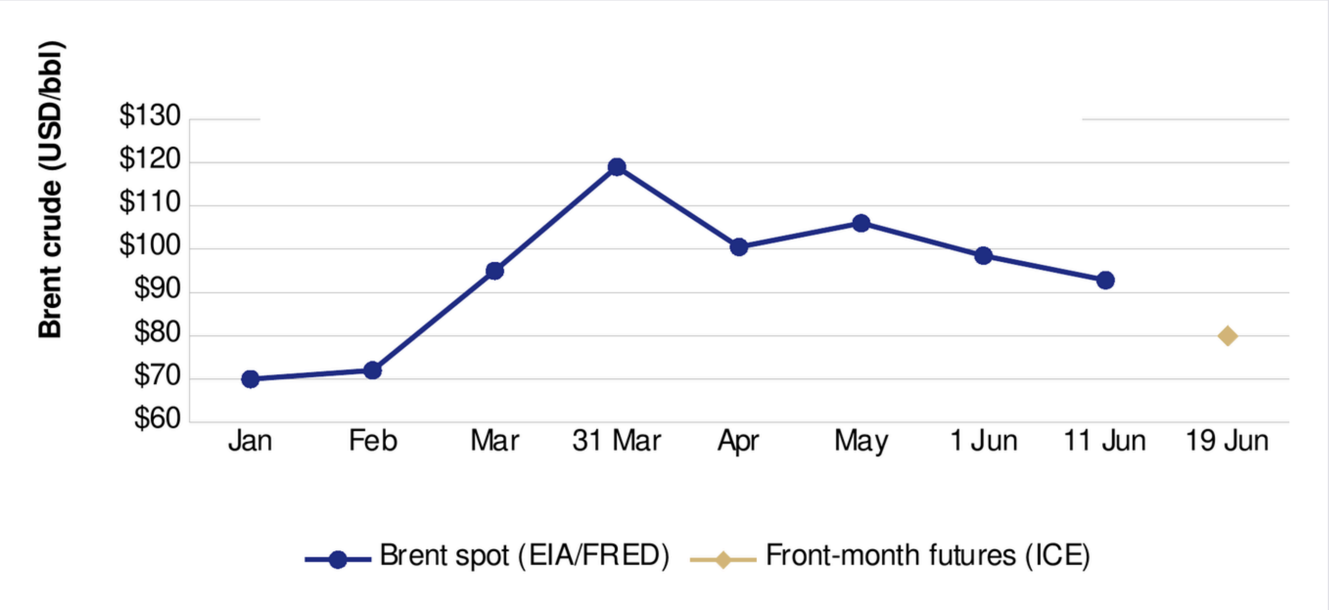
Sleeve	Structure	Key metrics
Equities	60% core / 40% satellites; ~55% US / 45% Europe	Blended dividend yield 1.9% vs ~1.0% S&P 500; beta 0.86 vs MSCI World (EUR), 0.73 vs S&P 500 (EUR)
Fixed income	70% EUR / 30% USD; EUR barbell 50/15/35; USD bullet 20/50/30	Blended duration ~4.3y (EUR ~4.6y, USD ~3.5y)
Commodities	50% gold / 30% copper / 20% agriculture / 0% oil	E[r] ~8.0%, vol 15.3%, Sharpe ~0.36, effective number of bets 2.63

The common risk across the book is a durable, rapid peace settlement: it would compress the energy and defense premiums in equities, and combined with a sharp dollar rally it is the correlated-reversal scenario the commodities team sizes against. We accept that exposure knowingly, we have sized it so no single outcome dominates, and every sleeve carries defined triggers to rotate if the regime turns.

Section 2

The Macro Backdrop

The proximate cause of the 2026 inflation impulse is the Iran conflict and the disruption to oil and gas supply, centred on the Strait of Hormuz, a corridor that normally carries roughly a fifth of global seaborne oil. The conflict effectively closed the strait from late February 2026. Brent began the year near $66, climbed to a peak around $119 at the end of March, and eased back as peace expectations built: a US-Iran interim ceasefire, a 60-day memorandum of understanding, was signed on 17 June, and front-month futures fell toward $80 by 19 June. De-escalation is not settled. By 20-21 June Iran again declared the strait closed while the US disputed that claim, and Hormuz flows of roughly 12 million barrels per day remain well below the 15 to 15.5 million norm. Two structural changes deepen the uncertainty: the death of Iran's Supreme Leader on 28 February, and the exit of the UAE from OPEC+ on 1 May, which thinned the cartel's spare capacity from about 3.8 to 2.5 million barrels per day.



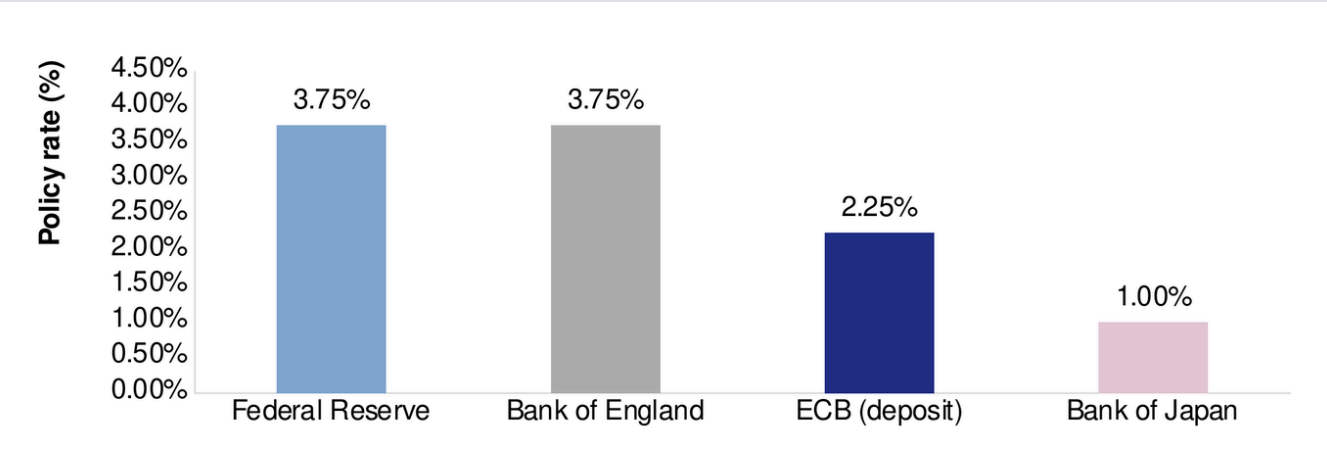
Brent crude during the Middle East conflict (2026)

Sources: EIA/FRED (spot); ICE/Investing.com (front-month futures). From the Equities Portfolio Research paper.

This round-trip in oil is the single most important macro development of the year. It lifted headline inflation everywhere simultaneously: US CPI rose 4.2% year on year in May, the fastest since 2023, with energy contributing over 60% of the monthly gain, and core PCE reached 3.3% in April. Euro-area headline inflation accelerated to 3.2% in May, the highest since 2023, with core at 2.5%. Long-run inflation expectations stayed comparatively well anchored, which we read as the market treating the spike as a supply-driven episode rather than a de-anchoring.

The shared shock produced divergent responses, because the major central banks entered it at different cyclical starting points:

- **The Federal Reserve** held its target range at 3.50-3.75%. The 17 June FOMC, Kevin Warsh's first meeting as chair, removed any bias toward cuts: the dot plot's 2026 median moved from 3.4% to 3.8%, shifting from a projected cut to a projected hike, and reductions were pushed into 2027-28. By mid-June the forward curve priced a roughly 59% probability of at least one hike by December, with the probability of cuts near 1%.
- **The ECB** raised all three key rates by 25bp on 11 June, its first increase since September 2023 and a reversal of eight consecutive cuts, taking the deposit rate to 2.25%. It did so into weakness: euro-area GDP contracted 0.2% quarter on quarter in Q1, and staff cut 2026 growth to 0.8% while revising inflation up. Markets price roughly one further hike this year, with one pricing source showing the deposit rate around 2.50% by December.
- **The Bank of England** held at 3.75% with a hawkish split, and the **Bank of Japan** hiked 25bp to 1.00% on 16 June, its highest policy rate since 1995.



Major central bank policy rates (as of 20 June 2026)

Source: central bank communications. From the Equities Portfolio Research paper.

The result is the divergence that shapes all three sleeves. The United States sits in the rising-growth, rising-inflation quadrant of late-cycle reflation: ISM manufacturing at 54.0, payrolls up 172,000 in May against roughly 85,000 expected, unemployment steady at 4.3%. The euro area occupies falling-growth, rising-inflation territory closer to mild stagflation, with the ECB tightening because upside inflation risks remain material. The 10-year Treasury yield sits near 4.54% and the euro-area AAA 10-year at 2.92% as of 26 June. Despite the hawkish backdrop, financial conditions remained comparatively benign, with US high-yield spreads compressed near 2.7 percentage points. The central tension into H2 2026 is between still-easy financial conditions and a policy stance restrictive in intent, and the dominant risk is two-sided and runs through energy: a durable settlement lets inflation resume falling and reopens the path to easing, while renewed escalation around Hormuz could force central banks out of their holding stance into active tightening.

Section 3

The Portfolio

The fund runs three sleeves, each constructed on its own merits by its own team, with fund-level weights across sleeves set separately by the Heads of Fund rather than fixed in the underlying papers. What binds them is a shared regime read and a deliberate division of labour: equities carry the return engine and the late-cycle conviction, fixed income is the shock absorber, and commodities provide a diversifier built from three genuinely different drivers.

Allocation overview

Sleeve	Internal allocation	Role in the book
Equities	Core: 34% US broad market, 26% Europe broad market. Satellites: 8% European banks, 8% global defense, 6% health care, 6% consumer staples/food, 5% energy, 4% US financials, 3% rare earths	Late-cycle value and defensive tilt; income; market-like beta of 0.86 vs MSCI World (EUR)
Fixed income	70% EUR (50/15/35 short/intermediate/long) and 30% USD (20/50/30), across 12 EUR and 8 USD UCITS bond ETFs	Safe foundation, volatility dampener, lower-beta duration profile (~4.3y blended)
Commodities	50% gold, 30% copper, 20% passive agriculture, 0% oil (conditional engagement on standby)	Diversifier driven by monetary reserve demand, structural metal scarcity, and a gated energy option

The diversification logic is deliberate rather than decorative. Within equities, the satellites express the regime while a 60% passive core keeps costs low and preserves participation if the underweights recover. Within fixed income, diversification runs across two currency areas and a ladder of duration buckets precisely so that no single central-bank decision drives the sleeve. Within commodities, the three active exposures were chosen for driver diversification, monetary demand for gold, Chinese physical demand for copper, and an energy supply shock for oil, and the measured cross-correlations of roughly 0.33 to 0.34 across the gold, copper and agriculture pairs support treating them as genuine diversifiers rather than three versions of one bet. Across sleeves, the long-duration bonds and the gold position are the two holdings designed to work when the equity book does not.

We are equally explicit about where diversification ends. The equity satellites, the zero-oil-but-gated energy stance and the commodities book all reference the same geopolitical variable, and a rapid, durable peace settlement would move several of them the same way at once. That shared exposure is documented in each paper and consolidated in the Risk and Monitoring section below.

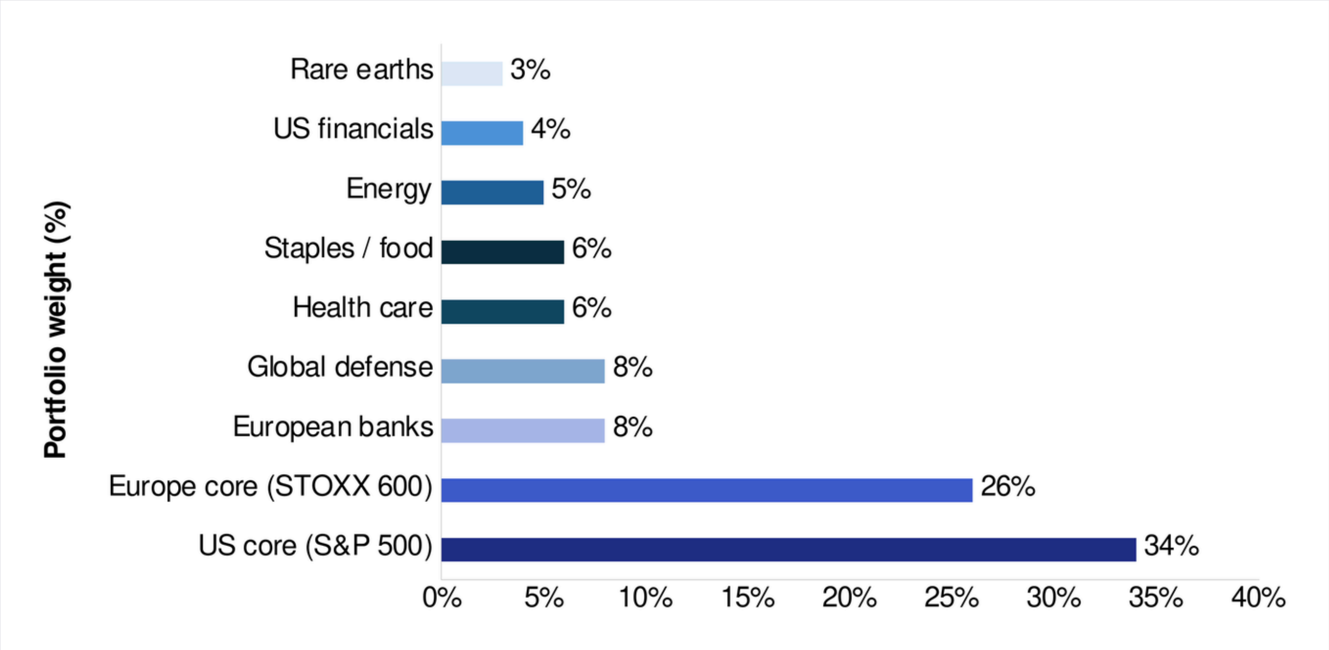
Section 4

Equities

From "Equities Portfolio Research" by Timur, Anton and Sandro, 24 June 2026.

The equity sleeve translates the late-cycle reflation read into a value- and defensive-tilted portfolio of UCITS ETFs, built as a 60% passive core with 40% thematic satellites and held to the December 2026 rebalancing. Regionally it is roughly 55% US and 45% Europe: the US pulls weight through growth momentum and deeper theme liquidity, while Europe contributes a forward P/E discount near 20% (STOXX Europe 600 at 18.02x versus 22.52x for the S&P 500), more than double the US dividend yield (2.49% versus 1.05%), an ECB-rate tailwind to its large bank sector, and no FX drag for a euro-denominated fund. US positions are held unhedged as a known, accepted exposure.

The satellites express the sector work of both regions. Banks plus financials, 8% European banks and 4% US financials, is the largest active bet at 12% combined: the highest-conviction theme in both regions, with the ECB hike improving European net interest margins and the re-steepened US curve (2s10s at +0.38%) supporting American ones. Global defense at 8% rests on NATO's path toward 5% of GDP by 2035 and multi-year budget backlogs, visibility that survives a falling oil price. Health care (6%) and consumer staples (6%) are the cheap defensives with pricing power that a reflation regime rewards. Energy, originally a co-equal conviction, was deliberately cut to 5% and reframed as a tactical hedge against the ceasefire collapsing after the mid-June relief rally, the paper's most important revision. A 3% rare-earths position is sized small with its China-concentration caveat explicitly flagged. Technology and real estate carry no satellite weight and are held below benchmark through the core, the funding source for the overweights.



Recommended combined portfolio: 60% core / 40% satellites

From the Equities Portfolio Research paper.

The computed portfolio statistics confirm the intended character: a blended trailing dividend yield of 1.9%, roughly double the 1.0% of the S&P 500, and a beta of 0.86 against MSCI World in EUR (0.73 against the S&P 500 in EUR), market-like exposure with the value and defensive tilt the regime calls for. The rotation the sleeve rides is visible in European fund flows, where Q1 2026 equity funds drew EUR 95.3bn while EUR 23.3bn left growth-focused funds on rising AI skepticism.

The team is explicit about what would make it wrong: a permanent, verified peace agreement, Hormuz fully reopened, and oil stabilizing in the $70s or lower. In that world the portfolio should rotate toward the rate-sensitive sectors it currently underweights, at the December rebalancing or on an earlier trigger.

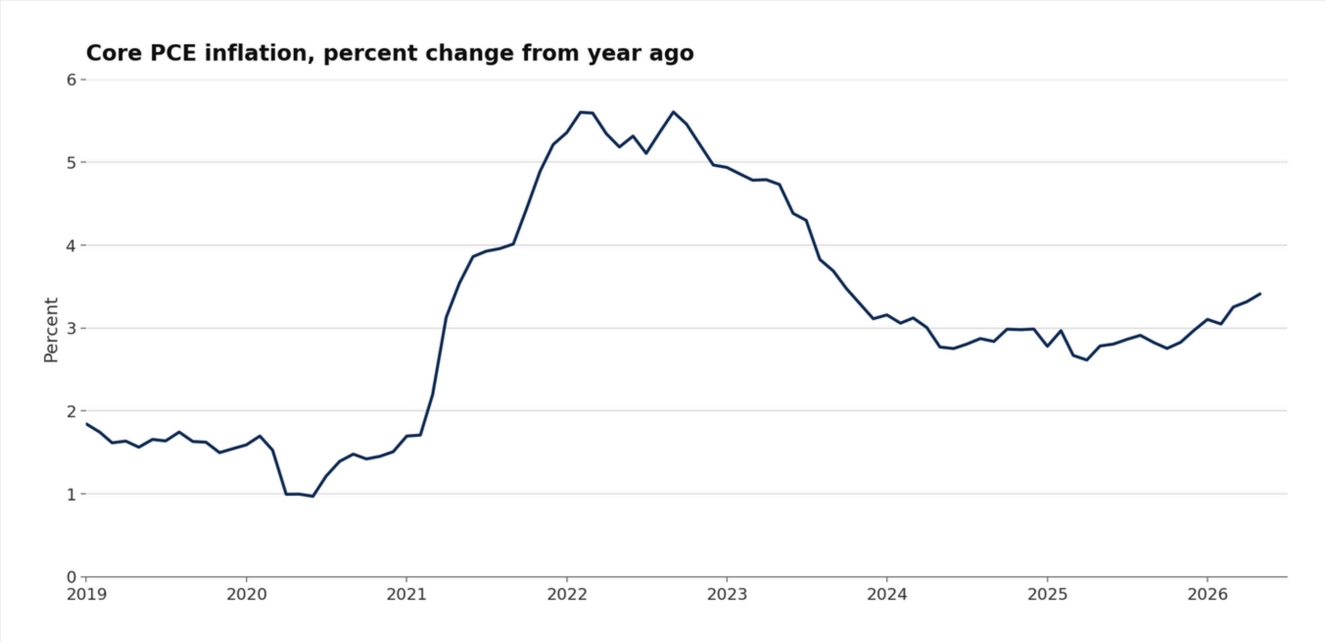
Section 5

Fixed Income

From "Fixed Income Portfolio" by Anastasia Shevchuk, Johannes Volkemer and Raphael Banner, 2 July 2026. Analysis cut-off: 26 June 2026.

The fixed income sleeve is the book's designated shock absorber, built around three guiding principles: a safe foundation that dampens volatility, a deliberately lower sensitivity to rate moves than long-duration benchmarks, and diversification across both currency areas and maturity segments. The strategic split is 70% EUR and 30% USD. For a euro-based fund the euro sleeve is the anchor that avoids currency mismatch, while the smaller unhedged USD sleeve buys exposure to a different interest-rate cycle without letting exchange-rate risk dominate.

The two sleeves are shaped by the two different central-bank problems. The ECB is tightening into weak growth because inflation risks remain material: with one further hike already priced, the EUR sleeve runs a mild barbell of 50% short, 15% intermediate and 35% long duration. The front end absorbs ECB repricing with minimal price risk through money market, floating-rate and 1-3 year government positions; the long end, anchored by a 15-30 year government bond position that alone contributes roughly 62% of the sleeve's duration, preserves flight-to-quality protection and convexity if growth deteriorates. The Fed, by contrast, is expected to hold rates broadly stable through 2026 before easing gradually from 2027, in line with the June dot plot and with Goldman Sachs' revised expectation of cuts from mid to end 2027. The USD sleeve therefore runs a bullet: 20% short, 50% intermediate, 30% long, with intermediate investment-grade credit as the core exposure positioned for the most likely policy path, and the 1-3 year Treasury segment held at reduced weight after it absorbed the sharpest repricing following the June FOMC.

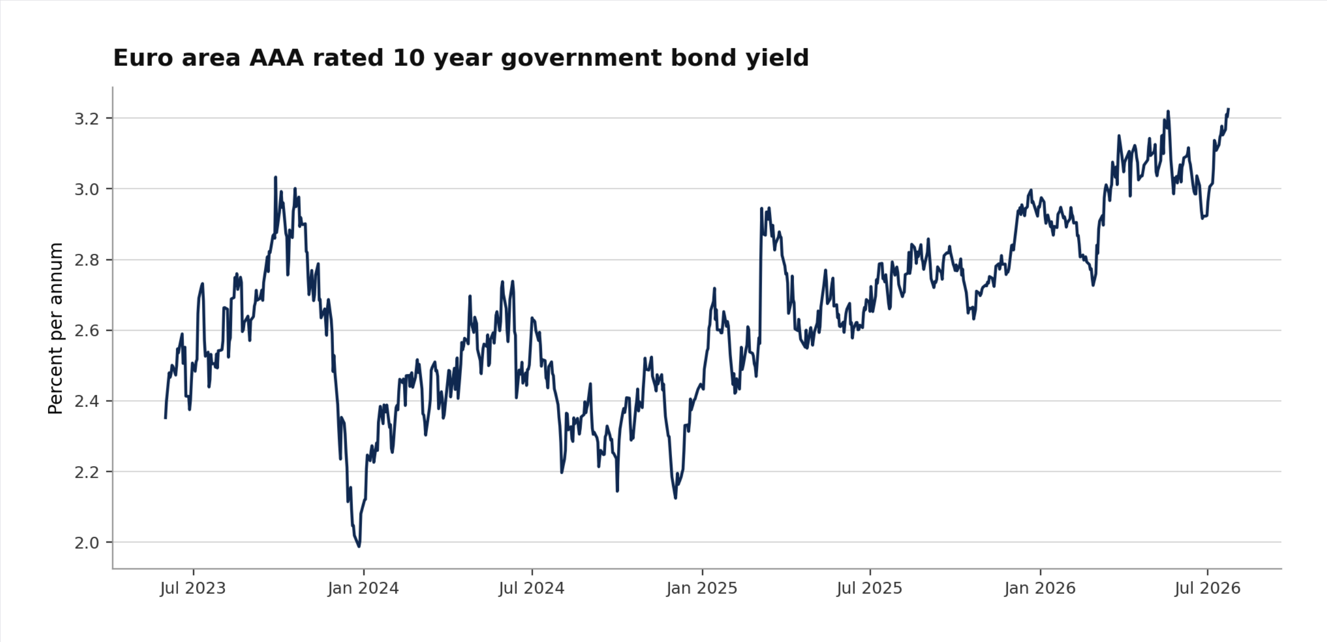


Core PCE inflation, percent change from year ago

Source: FRED, series PCEPILFE. From the Fixed Income Portfolio paper.

The US inflation picture justifies the caution: core PCE has re-accelerated from a trough near 2.6% in early 2025 to approximately 3.3% by April 2026, and the team's read of the labor market, unemployment low by historical standards and wage growth still supporting services inflation, is consistent with restrictive policy for an extended period.

Across 12 EUR and 8 USD UCITS products, all screened for rate sensitivity, credit quality, liquidity and replication method, the blended book runs approximately 4.3 years of duration (EUR sleeve roughly 4.6, USD roughly 3.5), the figure behind the portfolio's lower-beta positioning. Sovereign spread risk is deliberately controlled: with the euro-area debt ratio at 87.8% of GDP and country dispersion from Germany's 63.5% to Italy's 137.1% and Greece's 146.1%, Italy and France are named monitoring priorities rather than active bets. The sleeve avoids large directional calls on either central bank's next move, prioritising capital preservation over yield maximisation.



Euro area AAA rated 10 year government bond yield

Source: ECB Data Portal, AAA yield curve 10 year spot rate, daily data through 23 July 2026. Redrawn by the fund.

Section 6

Commodities

From "Commodities Research Paper" by Jakob Hautkappe and Jonathan Nadar, 25 June 2026.

The commodities sleeve is 50% gold, 30% copper, 20% passive agriculture and 0% oil. It is explicitly not the mathematical optimum, an unconstrained Sharpe maximisation over twenty years of data collapses onto roughly 96% gold, but the more robust, mandate-compliant construction: expected return near 8.0% per year, volatility of 15.3%, a Sharpe ratio near 0.36 at a 2.5% euro-cash risk-free rate, and an effective number of bets of 2.63, sitting only 4.4% off the mean-variance frontier with risk contributions of about 46% gold, 39% copper and 15% passive.

What distinguishes this sleeve is its discipline. Every thesis was tested against a daily data library spanning January 2005 to June 2026, and every position carries a written falsification rule with a stop. Three findings came from letting the data overturn comfortable assumptions:

Gold (structural long, moderate-to-high conviction): the textbook link between gold and real yields broke after 2022, confirmed by cointegration tests, and the driver that took over is a price-insensitive central-bank bid, 863 tonnes of net purchases in 2025, roughly double the pre-2022 base near 470 tonnes. That bid shows up statistically as an unexplained drift near 6.2% per quarter. The cyclical timing is adverse, real yields stretched near 2.18% and a firm dollar, and gold sits roughly 25% below its late-January record near $5,590, so the physical core is built now while the tactical sleeve is staged against confirmation, most likely around the 29 July FOMC. The core closes, regardless of price, if the real-yield cointegration re-establishes, if central-bank buying falls below the roughly 470-tonne base while ETF flows turn negative for two quarters, or if the quarterly drift drops below about 1% and loses significance.

Copper (moderate long at half the risk budget): the old China-PMI signal is dead, its correlation with copper fell from significantly positive to insignificant after 2022, so demand is read through physical indicators instead. The Yangshan import premium sits in its bullish top quartile at a z-score of +1.24, corroborated by refined imports up 5.2% year on year, but the corroborating signals, the LME carry and the mining equities, are not yet confirming, which is exactly why the position is sized at half. It scales up only if the composite signal clears +0.40 with carry confirming, and it carries 10% soft and 15% hard stops.

Oil (0%, conditional): on twenty years of data oil is the weakest asset in the set, with a Sharpe of 0.04 and a maximum drawdown near minus 87%, and it takes a zero weight in every Sharpe-maximising portfolio. But the 2026 war repriced Hormuz risk, war-risk insurance moved from about 0.125% to 0.2-0.4% of hull value per transit, so a fully specified engagement stands ready behind three gates: valuation, premium-intact, and a concrete deterioration catalyst. As of late June the framework says wait, because the catalyst gate has not fired.

The passive agriculture layer earns its 20% on the risk side alone: adding it cuts portfolio volatility from 17.8% to 15.3% for a modest Sharpe give-up, and it diversifies most strongly against gold, the sleeve's anchor. Deployment is mostly upfront, roughly two thirds at approval, staged over two to three trades with a hard backstop at six to eight weeks, a design derived from a 200,000-path Monte-Carlo study rather than asserted.

Section 7

Research Foundations

The two literature reviews published this half are not portfolio papers, but they discipline everything the portfolio teams do.

The Volatility Risk Premium (Leon Hendrischk, Friedrich Morris and Linda Zillmer) surveys the premium between option-implied and subsequently realized variance. Its synthesis is that the equity-index VRP is real and economically large on average, but that it is best understood as a layered, state-dependent compensation, part insurance premium, part jump-tail and disaster compensation, part intermediary balance-sheet premium, rather than a passive carry to harvest mechanically. The conclusions we draw as a fund are the ones the paper states for a student hedge fund context: any volatility-selling strategy is implicitly short a disaster claim and must be sized to the fat tail, not the historical mean; pre-2010 Sharpe ratios should be discounted substantially given the live debate about post-2010 compression; and regime conditioning is a primary risk-management input. That mindset, respect for tail risk and suspicion of comfortable historical averages, is visible in how the commodities team sizes copper at half budget and how the equity team frames its energy hedge.

The Efficient Market Hypothesis (Takudzwa Mutetwa, Sebastian Maurer and Sean Pascal) reviews the case for and against beatable markets, from Fama and Samuelson through Grossman and Stiglitz, behavioural finance, factor investing and the limits to arbitrage. Its pragmatic conclusion is our operating philosophy: passive exposure is the benchmark, and active positions must be funded only where there is a clear, testable source of edge, typically where information is costly, assets are illiquid, or frictions prevent arbitrage. Our portfolio construction mirrors this directly. The equity sleeve is 60% passive core precisely because broad, liquid markets are hardest to beat, and its satellites are specific, evidenced macro theses rather than vague conviction. The commodities team's requirement that every thesis commit to a single falsifiable driver is the same evidentiary standard the EMH review demands of any claim to alpha.

Section 8

Risk and Monitoring

The consolidated risk picture has one exposure at its centre: across the book, our largest active positions amount to a bet against a durable, rapid peace settlement. The equity paper states this as a conscious position, and the commodities paper names the same scenario, a durable Hormuz de-escalation combined with a sharp dollar rally pressuring gold, copper and oil at once, as its governing portfolio risk. We mitigate it through sizing (equity energy already cut to 5%, defense resting on budget backlog rather than the oil price, copper at half budget) and through the fixed income sleeve, whose long-duration anchors are positioned to benefit in exactly the disinflationary world that would hurt the reflation trades.

Consolidated triggers and limits

- *Equities*: weekly watch on Brent and the US-Iran talks, ECB and Fed communications and hike-expectation shifts, EUR/USD, defense-budget news, and satellite ETF spreads before resizing. Decision point: the December 2026 rebalancing, or earlier if a permanent verified peace agreement, a fully reopened Hormuz and oil stable in the $70s or lower invalidate the regime thesis.
- *Fixed income*: monitoring across five areas (ECB outcomes, core inflation and wages; Fed SEP, PCE and labor data; Italy and France spreads versus Bunds; the EUR-USD rate differential as the hedging-cost driver; the Middle East and Russia-Ukraine backdrop). Rebalancing triggers: ECB hikes beyond market pricing shorten EUR duration, clear recession signs shift weight to the long bucket, Fed easing signals before mid-2027 lift USD intermediate and long weights, spread widening beyond threshold cuts peripheral exposure, and a fixed quarterly review confirms all weights regardless.
- *Commodities*: written falsification rules per position. Gold: three structural kill conditions plus an 8% tactical stop and a structural line below $4,000. Copper: reduce if the Yangshan z-score crosses below zero or miners underperform, exit on composite below minus 0.10, mandatory trend stop below the 200-day average for three days, thesis killed if LME stocks rise over 50% year on year while Yangshan collapses. Oil: entry only when all three gates align; when active, stopped on a durable close below roughly $58-60 with the strait verifiably open. The decisive near-term catalyst is the 29 July FOMC; the primary evaluation is the December 2026 rebalance.

Secondary risks we carry knowingly: a hawkish Fed surprise (supports financials, pressures the core), a deeper European recession (the genuine stagflation risk for EU banks and the EU core, cushioned by valuation and dividend), defense order timing, dollar strength against the commodity complex, and the China concentration inside the rare-earths vehicle. The commodities team also reminds us that correlations converge toward one in a sharp risk-off event, so modelled tails understate the true ones. We treat that as a reason for restraint in sizing, not as a reason for inaction.

Appendix

Published Research

All five papers are available on the fund's Research page.

1. **Equities Portfolio Research: United States and Europe** · Timur, Anton and Sandro, 24 June 2026. The late-cycle reflation thesis and the 60/40 core-satellite US/European equity portfolio, from macro regime through sector conviction to a deployable UCITS instrument list.

2. **Fixed Income Portfolio: EUR and USD Sovereign, Corporate and Floating Rate** · Anastasia Shevchuk, Johannes Volkemer and Raphael Banner, 2 July 2026. The defensive 70/30 two-currency bond book: a mild EUR barbell against a bullet-weighted USD sleeve, with monitoring and rebalancing triggers.

3. **Commodities Research Paper** · Jakob Hautkappe and Jonathan Nadar, 25 June 2026. The 50/30/20/0 gold-copper-agriculture-oil sleeve, built on twenty years of data, three documented regime breaks, and written falsification rules for every position.

4. **The Volatility Risk Premium: A Literature Review** · Leon Hendrischk, Friedrich Morris and Linda Zillmer, June 2026. What the academic and practitioner literature agrees and disputes about the VRP, and what it implies for a student fund's risk discipline.

5. **Efficient Market Hypothesis: A Literature Review** · Takudzwa Mutetwa, Sebastian Maurer and Sean Pascal, July 2026. The case for passive as the benchmark and the conditions under which active management can justify itself.

Notice

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